DSEH004 · PERFORMANCE MANAGEMENT AND EMPLOYEE ENGAGEMENT

Psychological Contracts and Trust Repair

Week 6 · Lecture 1 · Unit I to Unit II · Rousseau, breach and violation, Mayer's trust model, and how trust is repaired

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L1 · QUIZ 3

Quiz 3 opens now.

Phones go away once you submit. We begin the lecture when the quiz closes.

L1 · COMMIT BEFORE THEORY

If HR never promised it, employees cannot feel betrayed when it does not happen.

Agree or disagree.

Rousseau's psychological contract

ROUSSEAU (1989)

Definition

An individual's beliefs about the terms of an exchange with the organization, including what was implied.

ROUSSEAU (1995)

Transactional

Specific, short term, economic: pay for performance.

ROUSSEAU (1995)

Relational

Open ended, broad: loyalty and development in return for commitment.

Morrison and Robinson (1997)

Breach

A cognitive judgment that the organization failed to meet an obligation.

Violation

The emotional response: anger and betrayal that may follow a breach.

Two sources

Reneging, when the firm knowingly fails; incongruence, when the two sides understood the promise differently.

L1 · THE CONSEQUENCES

Zhao and colleagues (2007)

Outcomes

Breach related to mistrust, violation, lower satisfaction, commitment, citizenship and performance, and higher turnover intentions.

Mechanism

Violation and mistrust carried the effect of breach to attitudes and behavior.

Zhao et al. (2007), Personnel Psychology, 60(3)

L1 · WHAT TRUST IS BUILT FROM

Mayer, Davis and Schoorman (1995)

FACTOR	THE TRUSTOR ASKS
Ability	Can they do what is needed?
Benevolence	Do they want good things for me?
Integrity	Do they keep to principles I accept?

Trust is the willingness to accept vulnerability based on positive expectations of another's intentions or behavior.

Mayer et al. (1995); Rousseau et al. (1998)

Kim, Ferrin, Cooper and Dirks (2004)

Competence violation

Apology repaired trust more effectively.

Integrity violation

Apology was less effective, because admitting guilt confirms a character flaw.

Employees distrust the new PM system

THEORY	READING	RESPONSE
Psychological contract	A relational promise feels broken	Name the promise; renegotiate openly
Trust model	Doubt about benevolence or integrity	Visible, costly signals of good intent
JD R	New demands without resources	Remove hindrances before adding tools

REFERENCES

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